## No QI Argument

Yes. This deserves its **own threshold section before you ever reach "clearly established law."** On the facts you have alleged, I think this argument may be cleaner than the traditional QI prong-two fight.

The core distinction is:

**Being a "state actor" for purposes of liability under § 1983 does not automatically make a private person a "government official" entitled to qualified immunity.**

The Ninth Circuit made exactly that distinction in its 2025 published decision *Estate of Esche v. Bunuel-Jordana*: private parties can qualify as state actors under § 1983 while still being **ineligible for qualified immunity**.

Your current allegations fit squarely into that issue. You are suing the CEO of a **for-profit private company contracting with CDCR**, and you allege that he personally approved and maintained the company's categorical treatment policy. QI Research Prompt Clearly Established Law.pdf

**1. Richardson is the starting point**

In **Richardson v. McKnight, 521 U.S. 399 (1997)**, the Supreme Court confronted private employees performing an unquestionably governmental function: guards operating a state prison.

The Court nevertheless held:

**Private prison guards employed by a private prison-management company were not entitled to qualified immunity.**

That matters because the defendants made essentially the argument you should expect here:

> We perform the same governmental function government employees perform, so we should receive the same immunity.

The Supreme Court rejected that reasoning. Mere performance of a governmental function does **not** confer QI on a private person.

Instead, *Richardson* looked at two things.

First, **history**: was there a firmly rooted common-law tradition of immunity for private persons performing this function when §1983 was enacted? The Court found none for privately employed prison guards.

Second, **policy**: do the reasons for protecting public employees from suit apply to this private arrangement? The Court emphasized ordinary private-market mechanisms—competition, contractual replacement, insurance, compensation, and employer discipline—as substitutes for governmental immunity.

Then comes the language that is particularly useful to you. The Court described the situation in which it was denying immunity as involving:

- a **private firm**;
- systematically organized to undertake a **major, lengthy administrative task**;
- with **limited direct government supervision**;
- performing that task privately;
- **for profit**;
- and potentially **in competition with other firms**.

It specifically distinguished a private person merely associated with government briefly, acting as an adjunct, or working under close governmental supervision.

That framework is extremely important for your CEO.

**2. Filarsky does not erase Richardson**

The defense would probably respond with **Filarsky v. Delia, 566 U.S. 377 (2012)**.

There, a city hired a private attorney to assist with an internal investigation of a firefighter. The Supreme Court allowed the attorney to seek qualified immunity.

But *Filarsky* did **not** overrule *Richardson*. It went out of its way to distinguish it.

The Court repeated *Richardson's* description of the private prison company as a firm systematically organized to perform a major, lengthy governmental task with limited supervision, for profit and potentially in competition—and then said:

**"Nothing of the sort is involved here."**

Filarsky was essentially an outside professional temporarily brought in to help government employees perform a particular government investigation. The Court concluded that denying protection merely because he was temporarily retained rather than placed on the city payroll made little historical or policy sense.

So your factual battle isn't really:

**private contractor vs. public employee.**

It is:

**Richardson-type institutional privatization vs. Filarsky-type temporary governmental adjunct.**

And based on what your complaint alleges, your CEO looks substantially more like the **Richardson side**.

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**3. Halvorsen may actually be your best Ninth Circuit case**

This is the case I would elevate considerably:

**Halvorsen v. Baird, 146 F.3d 680 (9th Cir. 1998)**

It is unusually close conceptually.

Police took a person to a **private detoxification treatment facility operating under contract with the county**. The facility exercised delegated authority affecting the person's liberty. Critically, the private facility **made its own admission decisions** rather than simply carrying out a police order.

The facility and its employees asserted qualified immunity because they were performing a quasi-governmental function.

The Ninth Circuit rejected it.

It held:

> "A private firm providing a municipality with involuntary commitment services for inebriates does not enjoy qualified immunity."

And it applied ***Richardson*** directly.

The Ninth Circuit emphasized that the detox company was an organization undertaking an ongoing administrative function—not a briefly deputized individual assisting government officials. It also emphasized competition for government contracts. Interestingly, the facility was **nonprofit**, and the Ninth Circuit held that the distinction from the for-profit company in *Richardson* was immaterial because both types of organizations could compete for government work.

Think about the analogy:

**Halvorsen**

Private treatment organization → government contract → state-authorized liberty restriction → private professional judgment → institutional policy/decisionmaking → no qualified immunity.

**Your allegations**

Private treatment organization → CDCR contract → mandatory parole treatment affecting conditional liberty → private clinical/corporate judgment → CEO-approved institutional policy → QI claimed.

That is a much tighter analogy than simply citing *Richardson* by itself.

And your defendant's **for-profit status makes the Richardson market-pressure rationale stronger rather than weaker.**

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**4. The Ninth Circuit has repeatedly gone this direction**

*Estate of Esche*, decided in 2025, is extremely useful because it synthesizes the Ninth Circuit line in one published opinion.

The court said the Supreme Court has "refused to extend" QI to **most private-party defendants**, and then collected Ninth Circuit decisions denying QI to:

- a private towing company;
- a private physician;
- a private parking-ticket processing contractor; and
- the private detoxification facility in *Halvorsen*.

It expressly reaffirmed *Richardson's* proposition that simply performing a governmental function does not confer immunity, particularly where the private actor operates without government supervision or direction.

That gives you a powerful current Ninth Circuit statement:

**State action and qualified immunity are separate inquiries.**

Indeed, *Esche* says precisely that the fact both public and private defendants can be state actors "does not mean the law treats them equivalently in every respect."

That is almost a ready-made opening sentence for your opposition.

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**5. Application to your CEO**

This is where your allegations become particularly interesting.

You are not alleging that the CEO was some psychologist whom CDCR temporarily asked to sit in on one assessment.

You're alleging that he headed a **for-profit corporate enterprise operating CDCR-contracted treatment programs**, and that he personally approved and maintained a **corporate policy governing when—or whether—parolees could complete treatment**. QI Research Prompt Clearly Established Law.pdf

That distinction matters.

Under your allegations, the challenged decision wasn't:

**"CDCR ordered Defendant to do X, and Defendant simply executed the government's specific instruction."**

It was:

**"Defendant exercised corporate policymaking authority over how his private company's contracted governmental program would operate."**

That sounds much more like *Richardson* and *Halvorsen* than *Filarsky*.

And the internal-manual allegations strengthen the point. Your prompt says the company's own manual allegedly declared that it was "prohibited from discharging a client from treatment for any reason," while simultaneously maintaining a completion pathway clinicians supposedly could not provide directly to clients. QI Research Prompt Clearly Established Law.pdf

If that policy came from the **company** rather than directly from CDCR, that is potentially crucial.

Why?

Because it shows the private corporation wasn't merely acting as CDCR's hands.

It was exercising **independent institutional discretion** over the governmental function delegated to it.

That's the *Halvorsen* feature I would hammer: the private detox center there "made its own admission decisions."

Your corresponding fact would be:

**HOPE made its own treatment-completion/retention decisions pursuant to corporate policy.**

If you prove that, the analogy gets strong.

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**6. The factors I would develop aggressively**

The contract and corporate evidence matter enormously here. I would build the factual record around one question:

**Was Defendant genuinely acting as a temporary adjunct under CDCR's close control, or was his company independently operating a privatized governmental program?**

Specifically, I would establish:

- who wrote and approved the no-discharge/no-completion provisions;
- whether CDCR ever ordered the company not to graduate participants;
- whether CDCR's contract instead delegated clinical duration/completion judgments to the provider;
- whether the company bid or competed for CDCR contracts and whether contracts were periodically renewed;
- the duration and scale of its CDCR relationship;
- how much day-to-day control CDCR exercised over clinical and corporate policies;
- whether the company carried liability insurance or indemnified its officers/employees;
- whether the CEO was personally supervised by any CDCR official concerning the challenged policy;
- whether other providers could replace the company; and
- whether company revenue depended on continued performance of the contract.

Every answer moving toward **independent corporate administration + market contracting + company-created policy** pushes the case toward *Richardson/Halvorsen*.

Every answer showing **direct CDCR command + close official supervision + temporary specialized assistance** pushes toward *Filarsky*.

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**7. There is one case you absolutely need to confront: Chavez**

The defense has a nontrivial response:

**Chavez v. Robinson, Ninth Circuit (2021)**

It involved a private sex-offender treatment program director and a parole/probation context. The Ninth Circuit ultimately applied qualified immunity to the private treatment director on several constitutional claims.

So you cannot write:

> "The Ninth Circuit has categorically held that private sex-offender treatment providers

cannot receive qualified immunity."

That's too broad.

But *Chavez* has an important weakness for this particular threshold argument.

The opinion **does not discuss Richardson at all.**

It **does not discuss Filarsky at all.**

And the district court had proceeded by **assuming without deciding that Robinson was a state actor**, then resolving the claims on the merits/QI grounds.

So your distinction should be:

**Chavez resolved whether the particular constitutional rights asserted there were clearly established; it did not analyze the antecedent Richardson/Filarsky question whether an institutional private contractor of this kind qualifies for governmental immunity in the first place.**

That's a legitimate argument, and *Estate of Esche* is particularly useful because four years after *Chavez*, the Ninth Circuit expressly reaffirmed *Richardson*, *Halvorsen*, *Jensen*, and *Ace Beverage* when discussing private §1983 defendants and qualified immunity.

I would therefore **address Chavez yourself** rather than wait for the defendant to raise it.

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**8. Why winning this issue changes the entire case**

This is the biggest strategic payoff.

Normally Defendant says:

**Even if I violated the Constitution, show me a Supreme Court/Ninth Circuit case placing this exact issue beyond debate.**

That's the difficult *al-Kidd / Emmons* fight you've been researching.

But that protection comes from **qualified immunity**.

If the court holds that this private corporate executive **is not eligible to invoke QI**, the "clearly established law" inquiry disappears as a defense to damages.

You would still have to prove:

**constitutional violation → Defendant's personal participation/causation → injury → damages.**

But you would **not** need to establish that a reasonable government official had fair warning from sufficiently fact-specific precedent simply to overcome QI.

That is why I called this potentially stronger.

You're attacking the defendant's entitlement to the shield itself rather than trying to pierce the shield.

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**9. What about a "good-faith" defense?**

This is the fallback to anticipate.

Both *Richardson* and later Ninth Circuit authority recognize that even where a private defendant cannot invoke QI, there may under some circumstances be a narrower **good-faith defense to liability**.

But that is **not qualified immunity**.

*Estate of Esche* expressly held that good faith is a defense to liability, not an immunity from suit. The Ninth Circuit contrasted it with QI and explained that the doctrines have different rationales.

The Ninth Circuit's classic example is *Clement*: a towing company had done its best to follow the law, acted under close police supervision, was specifically authorized by police to tow the vehicle, and had no reason to know a constitutional problem existed. That supported good faith.

Compare that with your allegations.

Your research prompt says a state court had already confronted the company's blanket policy through testimony from its own Executive Director of Clinical Training, condemned the policy, and the challenged policy allegedly continued thereafter. QI Research Prompt Clearly Established Law.pdf

That state-court order may be weak as **clearly established federal law**.

But it could become much more useful on **good faith**.

There's a major difference between:

**"We unknowingly followed apparently valid government instructions."**

and

**"We maintained our own corporate policy after our own leadership participated in litigation where that exact policy was condemned."**

That's one reason separating these doctrines could actually make your Dwyer evidence more valuable.

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**10. How I would frame the opposition**

I would seriously consider putting this **before** the conventional QI analysis:

**I. DEFENDANT, A PRIVATE EXECUTIVE OF A FOR-PROFIT GOVERNMENT CONTRACTOR, IS NOT ENTITLED TO QUALIFIED IMMUNITY**

Then something along these lines:

> Defendant's status as a state actor for purposes of § 1983 does not transform him into a government official entitled to qualified immunity. *Richardson v. McKnight*, 521 U.S. 399 (1997), rejects qualified immunity for employees of a private firm systematically organized to perform a major, ongoing governmental function under limited governmental supervision and subject to ordinary market pressures. The Ninth Circuit

> applied *Richardson* in *Halvorsen v. Baird*, 146 F.3d 680 (9th Cir. 1998), holding that a private organization providing government-contracted involuntary treatment services—and exercising its own judgment over liberty-affecting decisions—could not invoke qualified immunity. More recently, *Estate of Esche v. Bunuel-Jordana* reaffirmed that private parties may constitute state actors under § 1983 while remaining ineligible for governmental qualified immunity.
>
> The allegations here fall on the *Richardson-Halvorsen* side of the line, not *Filarsky*. Defendant was not a temporarily retained professional assisting government employees with a discrete governmental task. He was the chief executive of a for-profit corporate contractor administering an ongoing CDCR treatment program, and he allegedly personally approved and maintained the corporate policy that deprived Plaintiff of an individualized treatment-completion determination. QI Research Prompt Clearly Established Law.pdf
>
> Accordingly, Defendant should not receive the governmental immunity denied to comparable private institutional actors. Alternatively, even assuming qualified immunity were available, Defendant is not entitled to it because the constitutional right was clearly established.

**That last sentence is important.**

Don't make the entire opposition dependent on winning the threshold issue.

Make it:

**Argument A: No QI is available at all.**

**Argument B: Even if QI is theoretically available, he loses under the ordinary two-prong analysis anyway.**

And after reviewing *Halvorsen* closely, I would upgrade my earlier assessment: **Halvorsen may be one of the most important cases in the entire qualified-immunity portion of your case—not merely a peripheral private-contractor citation.** A private treatment organization under government contract, exercising independent decisionmaking over a person's involuntary liberty restriction, was expressly denied qualified immunity by the Ninth Circuit.

The next thing I would do is a **deep Richardson–Filarsky–Halvorsen–Jensen–Esche analysis**

**specifically tailored to HOPE's CDCR contractual structure**, including identifying exactly what factual allegations/documents you need to make the threshold argument survive a Rule 12(b)(6) motion and later summary judgment.

**Yes — this is a strong, independent threshold argument.** Under Supreme Court precedent, a private, for-profit contractor executive in this position is likely *ineligible* to assert qualified immunity at all. If successful, the "clearly established" prong never becomes relevant.

## Core Supreme Court Framework

**1. *Richardson v. McKnight*, 521 U.S. 399 (1997)**

- **Holding**: Prison guards employed by a private firm that systematically managed a correctional facility under state contract are **not** entitled to qualified immunity in a § 1983 action.
- **Key reasoning**:
  - No firmly rooted historical tradition of immunity for private parties performing correctional functions (private entities long operated prisons/leasing systems).
  - The policy justifications for QI do not apply with the same force: (a) the "unwarranted timidity" concern is mitigated by marketplace competition and the firm's insurance/contractual incentives; (b) attracting talent is the firm's problem, not the government's; (c) the firm operates with limited direct government supervision and for profit, potentially in competition with others.
- **Factual context**: Employees of a large, for-profit private prison management company operating a state facility.
- **Analogy strength**: Very high. The defendant here is the CEO of a for-profit company systematically organized under long-term CDCR contract to operate sex-offender treatment programs — a core governmental function (conditions of parole/supervised release). The company performs a major, ongoing administrative task for profit with limited day-to-day CDCR control over internal clinical/policy decisions (such as the blanket no-completion rule). This matches the "unusual circumstances" *Richardson* identified.
- **Binding**: Supreme Court. Remains good law.
- **Caveats in the opinion itself**: The holding is narrow and does *not* cover "a private individual briefly associated with a government body, serving as an adjunct to government in an essential governmental activity, or acting under close official supervision."

**2. *Filarsky v. Delia*, 566 U.S. 377 (2012)**

- **Holding**: A private attorney temporarily retained by a city to assist in an internal investigation *is* entitled to seek qualified immunity.
- **Key distinction**: *Richardson* involved "the unusual circumstances of prison guards employed by a private company who worked in a privately run prison facility." Nothing of that sort is present in the "typical case of an individual hired by the government to assist in carrying out its work." Immunity should not turn solely on whether the person is a full-time government employee or works on some other basis.
- **Analogy strength**: Strengthens the *Richardson* argument by confirming that *Richardson* survives and applies precisely to systematic, for-profit institutional contractors rather than temporary individual aides. The CEO is not a temporary solo practitioner or part-time adjunct;

he is the executive of a for-profit firm whose business model is the CDCR contract.
- **Binding**: Supreme Court. Unanimous. Did not overrule *Richardson*; it narrowed and preserved it.

## Ninth Circuit Application

The Ninth Circuit has applied the *Richardson* analysis to deny QI to private contractors in closely analogous settings:

- ***Jensen v. Lane County*, 222 F.3d 570 (9th Cir. 2000)**: Private psychiatrist under contract with the county to evaluate individuals for involuntary mental-health detention was a state actor but **categorically not entitled to qualified immunity**. The court examined history (no firmly rooted tradition of immunity for such private doctors) and policy (marketplace pressures and the absence of the classic governmental concerns about timidity and talent attraction). Still cited post-*Filarsky* as good law in the circuit.
- ***Halvorsen v. Baird*, 146 F.3d 680 (9th Cir. 1998)**: Private detoxification center (and its employees) not entitled to QI.
- Other Ninth Circuit decisions apply *Richardson* to private firms with minimal government oversight performing governmental tasks and routinely deny QI to employees of for-profit prison medical providers or similar contractors.

There is a circuit split on private *medical* providers in correctional settings (some circuits grant QI under a broader reading of *Filarsky*; the Sixth, Seventh, Ninth, and Eleventh generally deny it under *Richardson*). The Ninth Circuit remains on the side that systematically organized for-profit contractors are ineligible.

No published Ninth Circuit decision directly addresses a CEO of a private sex-offender treatment provider under CDCR contract, but the functional analysis is the same: systematic performance of a major governmental function (parole conditions and treatment) by a for-profit firm for profit with limited direct supervision.

## Application to This Defendant

The CEO is not a temporary individual hired to assist the government (*Filarsky*). He is the executive of a private, profit-seeking company whose core business is the long-term CDCR contract to operate the sex-offender management program. He personally approved and maintained the blanket corporate policy. This places him squarely inside the *Richardson* category that the Supreme Court and the Ninth Circuit have held ineligible for QI.

**Advantages of the threshold argument**:

- It is logically prior. If the defendant cannot assert QI, the court never reaches the "clearly established" inquiry.
- It is fact-intensive in a way that favors the plaintiff at the motion-to-dismiss or early summary-judgment stage (nature of the firm, duration and scope of the contract, degree of CDCR supervision over clinical policy, profit motive).
- It avoids the specificity demands of *al-Kidd*/*Emmons* that make the merits-side "clearly established" analysis harder.
- Even if a court later finds the defendant *is* eligible for QI, the argument preserves the issue

and forces the defendant to litigate eligibility first.

**Potential counter-arguments and responses**:

- Defendant will cite *Filarsky* and argue that any private person performing a governmental function is presumptively eligible. Response: *Filarsky* itself distinguishes and preserves *Richardson* for systematic for-profit institutional contractors.
- Defendant may claim close CDCR supervision or that treatment providers are more like the temporary experts in *Filarsky*. Response: The complaint's allegations (and the company's own RFA responses and internal manual) show the company independently maintained a categorical policy that CDCR did not override; the CEO's personal approval of that policy is the challenged conduct.
- Some out-of-circuit cases grant QI to private medical providers. Response: Ninth Circuit precedent (*Jensen* and progeny) is controlling and aligns with *Richardson*.

**Bottom line**: The threshold ineligibility argument under *Richardson* (as preserved by *Filarsky* and applied in the Ninth Circuit) is stronger and cleaner than many "clearly established" arguments in this space. It should be led with in any opposition to a QI motion. Pair it with the merits-side clearly-established analysis from the prior research as an alternative ground.

Core Argument

Yes — there is a strong threshold argument that a private, for-profit CEO cannot invoke qualified immunity. The key is distinguishing your case from Filarsky v. Delia, 566 U.S. 377 (2012), which held that some private individuals working with the government may claim qualified immunity.

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Ninth Circuit Precedent: Private Actors Generally Cannot Claim Qualified Immunity

Before Filarsky, the Ninth Circuit consistently held that private parties acting under color of state law were categorically barred from qualified immunity.

Case Holding Key Fact

Ace Beverage Co. v. Lockheed Info. Mgmt. Servs., 144 F.3d 1218 (9th Cir. 1998) Private contractor processing parking tickets for the City of Los Angeles was not entitled to qualified immunity. Private for-profit firm systematically organized to assume a major administrative task, operating under contract with limited government supervision.

Halvorsen v. Baird, 146 F.3d 680 (9th Cir. 1998) Private non-profit firm providing involuntary detoxification services under municipal contract could not assert qualified immunity. Private organization contracted to perform a governmental function (civil confinement).

Jensen v. Lane County, 222 F.3d 570 (9th Cir. 2000) Private physician contracting with county psychiatric hospital was a state actor but not entitled to qualified immunity. Private medical

practitioner performing public function (mental health detention).

These cases establish a clear Ninth Circuit rule: private contractors performing government functions for profit are not entitled to qualified immunity.

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The Supreme Court's Filarsky Decision — And Its Limits

In Filarsky v. Delia, the Supreme Court reversed the Ninth Circuit, holding that a private attorney temporarily retained by a city to assist an internal investigation could claim qualified immunity.

Critically, Filarsky did not overrule Ace Beverage, Halvorsen, or Jensen. The Court distinguished two prior cases denying immunity to private actors — Wyatt v. Cole, 504 U.S. 158 (1992) and Richardson v. McKnight, 521 U.S. 399 (1997) — as "highly idiosyncratic situations" representing "very narrow holdings."

The Court's reasoning in Filarsky rests on a key distinction:

"a private individual temporarily retained by the government to carry out its work"

Filarsky involved a short-term, episodic government engagement — a lawyer hired for one internal investigation. Your case involves a permanent, for-profit corporation systematically organized to assume a major, ongoing government function (CDCR's mandatory sex offender treatment program) — precisely the scenario the Ninth Circuit had already held falls outside qualified immunity.

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Why Shannon Smith Cannot Claim Qualified Immunity

1. Smith is a for-profit CEO, not a "temporary" government contractor.

Filarsky involved an individual lawyer hired for a single investigation. Smith is the permanent CEO of a for-profit corporation that operates sixteen facilities statewide and has run CDCR's sex offender treatment program for years. This is the Ace Beverage/Halvorsen/Jensen scenario — a private, profit-seeking entity performing a government function as a regular, ongoing business.

2. The corporation operates for profit and independently.

Richardson v. McKnight denied immunity to private prison guards partly because the private prison operated for profit and in competition with other firms. HOPE is a for-profit corporation with profit-sharing and performance bonuses tied to client retention.【Complaint ¶ 47】 Like Lockheed in Ace Beverage, HOPE is a "private firm, systematically organized to assume a major lengthy administrative task . . . for profit."

3. The corporation is not under "close supervision" by the government.

The Ace Beverage court rejected Lockheed's argument that it was under close government supervision. HOPE's Employee Handbook states that only Shannon Smith has authority to modify company policy.【Complaint ¶ 13】 This demonstrates substantial independence from government supervision.

4. The corporation's primary allegiance is to profit, not public service.

Filarsky emphasized that immunity protects government employees from timidity in public service. A for-profit CEO whose compensation depends on client retention has a financial incentive to keep clients — the opposite of public service motivation. HOPE's Clinical Director job description includes "profit sharing," "performance bonus," and "50-60% utilization target" — compensation tied to retaining clients, not completing them.【Complaint ¶ 47】

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Strategic Recommendation

Lead with this threshold argument in your opposition:

1. Cite Ace Beverage, Halvorsen, and Jensen for the proposition that private for-profit contractors performing government functions are categorically ineligible for qualified immunity.
2. Distinguish Filarsky as involving a temporary, episodic government contractor, not a permanent, for-profit CEO of a corporation systematically organized to perform an ongoing government function for profit.
3. Emphasize the profit motive — HOPE's financial incentives to retain clients make it fundamentally different from a public employee acting in the public interest.
4. Quote the Ace Beverage language — "private parties are not entitled to qualified immunity" — and argue that Smith falls squarely within this rule.

This argument has a strong chance of success because the Ninth Circuit's pre-Filarsky precedent remains good law and your facts align with the cases denying immunity, not the narrow Filarsky exception.